

# What Is an Option?

## PRO PRACTICE WORKSHEET

Work through these by hand or with a spreadsheet. There's no wrong answer, the goal is just practice.

### Section 1 - Calculate a Call Payoff

A call option has a \$50 strike and a \$2.50 premium. Calculate the option value and buyer's P&L if the stock is at \$48, \$52.50, and \$60 at expiration.

### Section 2 - Calculate a Put Payoff

A put option has a \$50 strike and a \$2 premium. Calculate the option value and buyer's P&L if the stock is at \$55, \$48, and \$40 at expiration.

### Section 3 - Find the Breakeven

For a call with a \$75 strike and a \$3 premium, what is the breakeven stock price? What about a put with the same strike and premium?

### Section 4 - Compare Buyer and Seller Risk

For the call in Section 1, describe the seller's position: what is their maximum gain, and what is their risk if the stock keeps rising?

### Section 5 - Reflection

In your own words, explain why a long option's maximum loss is capped but a short (sold) uncovered call's maximum loss is not.